

Before we start to look at investment tools and see what options are available to us for investment and how to stay ahead of inflation, there are a few other key technical aspects regarding investments and returns which we must appraise ourselves with.

In the initial part of this section, we gave the definition of investment, and mentioned that it is all about keeping ahead of inflation and taxes. We have already discussed inflation and how to calculate the returns and adjust for inflation.

The other enemy of your money is the taxes that you pay on your money.

In the next section we learn about the different taxes that we pay on our money and how we can reduce them.

Technical Concepts in Financial Independence	
Evolution of Money	Cost Inflation Index
Absolute Returns	Taxes
Annualized Simple Interest Returns	Present and Future Value of Money
Compounded Annual Growth Rate (CAGR)	Rupee Cost Averaging
Internal Rate of Return (IRR)	Portfolio Asset Allocation

Taxes

In layman's terms, taxes are a financial charge or other levy imposed upon a taxpayer²¹ (an individual or legal entity) by a state such that failure to pay is punishable by law. A tax is not a voluntary payment or donation, but an enforced contribution imposed by the government whether under the name of income, toll, tribute, duty, custom, excise, subsidy, aid, supply, or any other name. Taxes consist of direct tax or indirect tax, and may be paid in money or as its labour equivalent.

If you have to explain the significance of taxes to your child or to any layman, the easiest way to do so is to get a scoop of ice cream, and before your child can pounce on it, take off 30% from it and eat it yourself. He